

Please print these out for me, create a file for them called EnronOnline Pipeline Capacity and bring it to me.

----- Forwarded by Mark Taylor/HOU/ECT on 10/26/2000 09:40 AM -----

ESanford@milbank.com

08/22/2000 09:02 PM

To: mark.taylor@enron.com

cc: EFeo@milbank.com, SKramer@milbank.com, ESanford@milbank.com

Subject: EnronOnline - pipeline capacity - CFTC issues

Mark,

Further to our telephone call of last week with Ed Feo and Steve Kramer, attached please find a draft memo discussing certain CFTC regulatory issues relating to multilateral online trading systems for pipeline capacity.? Also attached are three CFTC no-action letters, the first of which (Channel 4) contemplates transactions in pipeline capacity, as discussed in the memo.? The other two letters (Altra and QuickTrade) relate primarily to natural gas, although the relevant CFTC regulatory issues appear to be similar.? Please feel free to call me at 212-530-5414 with any questions you may have about the attached documents.? I look forward to working with you and EnronOnline to address these issues.

Regards,
Eric Sanford

<<#7249623 v3 - EnronOnline - Pipeline Capacity Memo.doc>>

<<1994 CFTC Letter 94-58 Channel 4.doc>>

<<1998 CFTC Letter 98-31 QuickTrade.pdf>>

<<1997 CFTC Letter 97-93 Altra.pdf>>

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